

dian banks having loans on their books to family groups, that should be written down that haven't been written down yet. And this is a fight that goes back to the days of Raghuram Rajan when he brought this problem up to the surface; it's not a problem that's gone away. And it's a problem that India has to deal with, frankly, if it wants to become the economic power that it aspires to be.

Q: Do you see this as more of a public sector problem, or all across the financial spectrum?

A: See, if State Bank of India goes down, guess what, it's not just State Bank of India going down, it's going to bring down the whole banking system. Look at Silicon Valley Bank, the 16th largest bank in the US. In the larger scheme of things, you're saying, who cares... The 16th largest technology company goes down, you wouldn't even have noticed! But the 16th largest *bank* going down threatens to bring down the entire system. Unfortunately, in banking, there's no such thing as separability.

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So if the big public sector banks have troubles, guess what? It's everybody's problem.

Q: That is true. But the other thing that is going on is in the ecosystem of digital companies, where they don't have recourse to bank debt and take the money from private equity companies. And now there is a squeeze out there as well. How do you see that crisis playing out?

A: Well, two things. First is that young companies should never borrow money. So not having access to bank debt is a good thing. Banks shouldn't be lending to young companies, because what are they going to pay it back with? So it's true, you're at the mercy of venture capitalists, which is the version of private equity that

plays out here. But come easy, go easy. These are companies that came out of nowhere to be worth billions of dollars. And these are companies that will lose value as easily. So why do we shed tears about this? This is the nature of the process. In the good times, you raise too much capital and in the bad times, you won't raise very much. It's healthy for the weakest of these companies to essentially be shaken out of the system. I know it's painful in the near term, but I think it's healthier for an ecosystem not to have too much money sloshing around. And in my view, for a decade, we had too much risk capital funding these companies. What happened in 2022 was a reversal to normalcy. It wasn't some retreat to some bad spot. It was just a reversal to what a normal risk capital market looks like. So I think in a sense, you might be shedding tears for the wrong companies—these young companies that raised too much capital and went after traditional companies and regular businesses and ruined them. I mean, nobody shed tears for those disrupted companies. So why are we shedding tears for the disruptors now?

Q: On hindsight, would you therefore say that easy capital is the root of too many problems? We've seen before how companies go through a cycle of five or six years when there is abundant risk capital, whether it's in form of debt or equity, and inevitably end up in a major crisis.

A: Absolutely. Everybody becomes lazy and sloppy. It's not just companies, it's investors, it's regulators, it's governments. Everybody thinks that the good times will last forever. And guess what, through history, we've had these booms and busts. So in a sense, when we have a bust, people wring their hands and say never again. But guess what, 10 years from now there'll be a different boom and a different bust. It's almost like human beings are doomed to repeat this process over and over again. We never learn, and we never will.

Q: The last few weeks have raised fears of a 2008 kind of a situation again. Do you think we will get away lighter this time, or could we be staring at a crisis of that magnitude?

A: 'Could' is a weak word. Of course, we could be. I don't think it's a high-probability event, but there's definitely a chance it could happen. I mean, anybody who claims it cannot happen is lying. There is nothing in this system that can prevent a panic, like we saw in 2008. But here's the good news. We did survive 2008. And we came out intact. It created an incredible amount of pain, but we got through that. So even if that is the outcome, you've got to figure out a way of surviving the outcome and coming out on the other side. Because sometimes there are opportunities in the worst of threats. And that's something that I think we need to keep in mind. **BT**